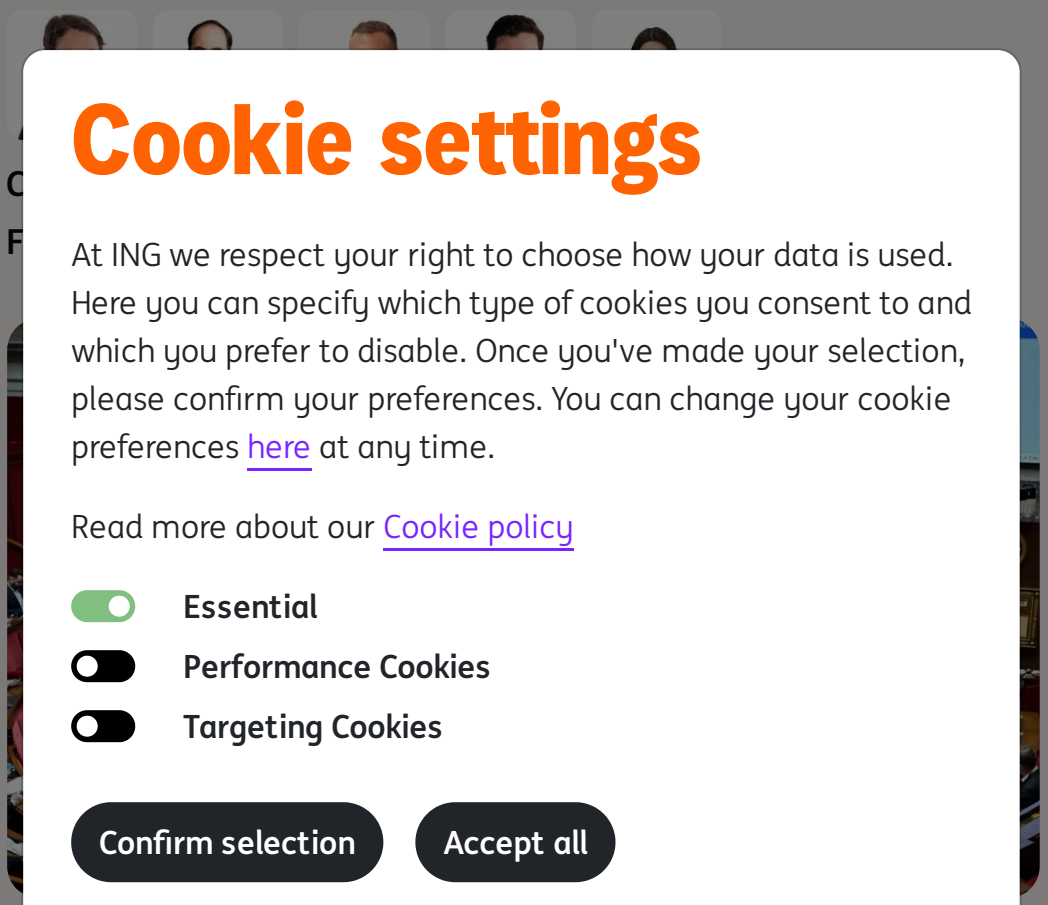
France's fiscal and political challenges have pushed bond spreads to levels not seen since the sovereign debt crisis. Could France become the eurozone's next major fault line? Join ING experts for a discussion of the risks, the policy options, and the implications for the economy, bond markets and the euro. Sign up here



French Prime Minister Sebastien Lecornu during a parliamentary debate on France's budget.

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France's deteriorating public finances and rising political uncertainty are increasingly testing investor confidence. As bond spreads widen to levels last seen during the sovereign debt crisis, questions are growing about how sustainable the country's fiscal path has become. What can the government realistically do to restore credibility, how far could the European Central Bank go to calm markets, and could Christine Lagarde face her own 'whatever it takes' moment? Join ING experts for a discussion of the risks, the

policy options and the implications for the economy, rates and the euro. Click here to sign up.

Details

Date: Thursday 15 October

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 40 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

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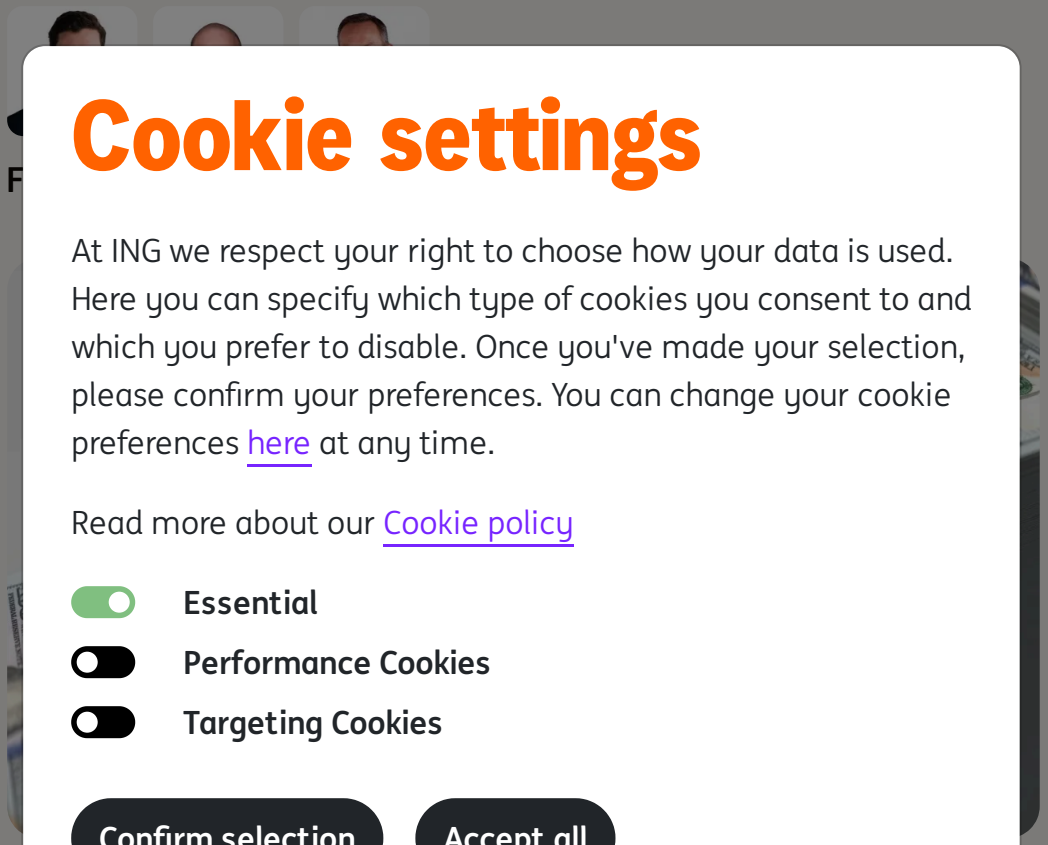
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A range of indicators suggests the dollar rally is becoming stretched. But with no clear macro or market catalyst in sight, we see little reason to call for an imminent reversal. We have lowered our EUR forecasts to reflect a more durable fiscal risk premium, while increasing prospects of a BoE hike should keep EUR/GBP under pressure for longer



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We have published the October edition of FX Talking: Au revoir, euro bulls, with updated FX forecasts and views.

USD: Overbought signals not that relevant for now

The start of the week has brought more dollar strength. Firmer oil prices, following increased military activity in the Gulf, have helped keep the dollar on solid footing. Today's calendar is unlikely to be

particularly impactful, with the NFIB survey and home sales figures the main highlights.

That said, several technical indicators point to an increasingly stretched USD rally. Our short-term valuation model shows the dollar overvalued against every G10 currency except GBP, where it's at fair value. On an equally weighted basis, USD is 1.1% overvalued versus G10. EUR, SEK and NZD stand out as particularly cheap, undershooting fair value by 1.5-2.5% and sitting beyond the 1.5 standard deviation threshold.

Positioning tells a similar story. Excluding JPY, where long positions re
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Further ahead, US midterms may represent a somewhat underappreciated USD risk. However, markets have long priced in the possibility of Republicans losing control of Congress, and any precautionary, potentially USD-negative positioning ahead of the vote may not emerge until late October anyway.

Francesco Pesole

EUR: 1.13 is our new year-end target

EUR/USD is around 1.5% undervalued relative to short-term fundamentals. This suggests a moderate build-up in France-related

risk may be becoming entrenched in the euro, but also that the risk premium could expand further if French bonds continue to lose value.

For now, that's not our baseline. While it's early to call for a retightening of the OAT-Bund 10yr gap, expectations that this year's budget can be passed via decree may help contain the spread below 150-160bp.

It's hardly a welcoming environment for EUR bulls, though. Beyond several ECB appearances, including Lagarde's, there are few other domestic drivers for the euro this week. Markets are already fully p
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We have lowered our EUR/GBP forecast and now expect the pair to trade in a 0.84-0.85 range for at least several more months. Idiosyncratic risks surrounding the euro are unlikely to fade anytime soon, and the Bank of England has sent a clear enough signal that it is prepared to hike.

We still think BoE rate expectations are too hawkish for 2027 (100bp by July), but one or two hikes are looking increasingly likely. The dovish shift may have to wait until well into 2027, underpinning GBP strength.

The UK budget on 28 October represents a potential risk for sterling, a
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later today, shifting attention to the breakdown and core reading. We estimate core inflation edged up from 3.0% to 3.1-3.2%, above the CNB's 2.9% forecast. The CNB has long viewed 3.0% as a potential trigger for rate hikes. With headline inflation also above forecast, we expect the CNB to raise rates again in November.

CEE trading was subdued yesterday amid US market closures, leaving our outlook largely unchanged. Rising global energy prices and fresh lows in EUR/USD point to continued pressure on emerging markets today, supporting our bearish view on CEE currencies. The Czech koruna remains the exception: a hawkish inflation

breakdown could provide a catalyst, while we still see 24.250 as fair value given current hawkish rate pricing.

Frantisek Taborsky

FX

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Oil prices remain well supported with plenty of risks still facing Persian Gulf supply. The market, meanwhile, doesn't seem to be buying the Russia-Ukraine energy ceasefire



Warren Patterson and Ewa Manthey

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announcement of an energy ceasefire between Russia and Ukraine was short-lived. That goes, too, for the US-Russia diesel export deal. ICE Brent settled 1.8% higher, just shy of $107/bbl yesterday — the highest close since mid-September. Clearly, the market is more concerned over recent developments in the Middle East, with Houthi attacks on Saudi Arabia and the lingering risks to oil flows from the Persian Gulf. In addition, there's considerable scepticism over the Russia-Ukraine energy ceasefire, particularly with reports that Russia has hit Ukrainian energy targets since Trump announced it. While diesel initially saw some weakness following the US-Russia

deal, strength has returned. The volumes suggested are doing little to offset the tightness in the global middle distillate market.

The Persian Gulf could see further bypass volumes in a relatively short time period. The Saudi Energy Minister said that the country is looking to expand its pipeline export capacity to 10m b/d, up from a current 7m b/d. About 1.2m b/d of this expansion could come from converting a gas pipeline to crude and could be available to transport oil within 7-8 weeks. Expansion beyond this would take more time, possibly as much as 3 years. Shipping larger volumes from the Red Sea would also require further investment in loading capacity at ports.

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countries in an attempt to hit storage targets. Germany is only adding additional support to European gas prices. EU gas storage is just shy of 75% full, below the 83% seen at the same stage last year and also below the 5-year average of 89%.

Metals - Tight supplies drive copper close to record

LME copper rose for a second consecutive session, trading near record highs. Supply concerns are adding support following a fatal avalanche at Chile's El Teniente mine on Sunday. It led to the suspension of operations in affected areas. While the open pit at

the mine remains shut, the rest of the mine's operations are operating normally. The open pit mine accounts for less than 10% of El Teniente's output. Meanwhile, Chinese demand appears well supported, with the Yangshan copper premium remaining near $130/t, close to a four-year-high.

TTF | Strait of Hormuz | Saudi Arabia | Russia-Ukraine | Persian Gulf | LNG | Copper

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At a time when US economic growth appears 'solid' and the Fed is intent on tightening policy, French budget unrest has only served to soften an already weak EUR/USD. We now think it can stay pressured at the lower end of a 1.10-15 range over the next three to six months. The biggest threat to the dollar probably comes from any new White House policy post-midterms

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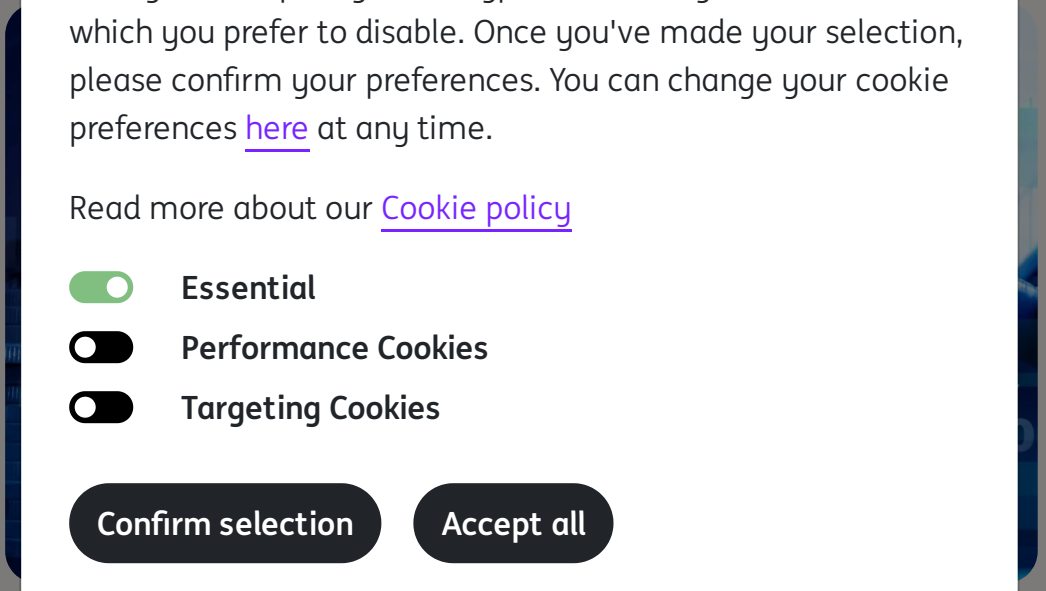
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EUR/USD looks set to stay pressured in a new 1.10-15 range

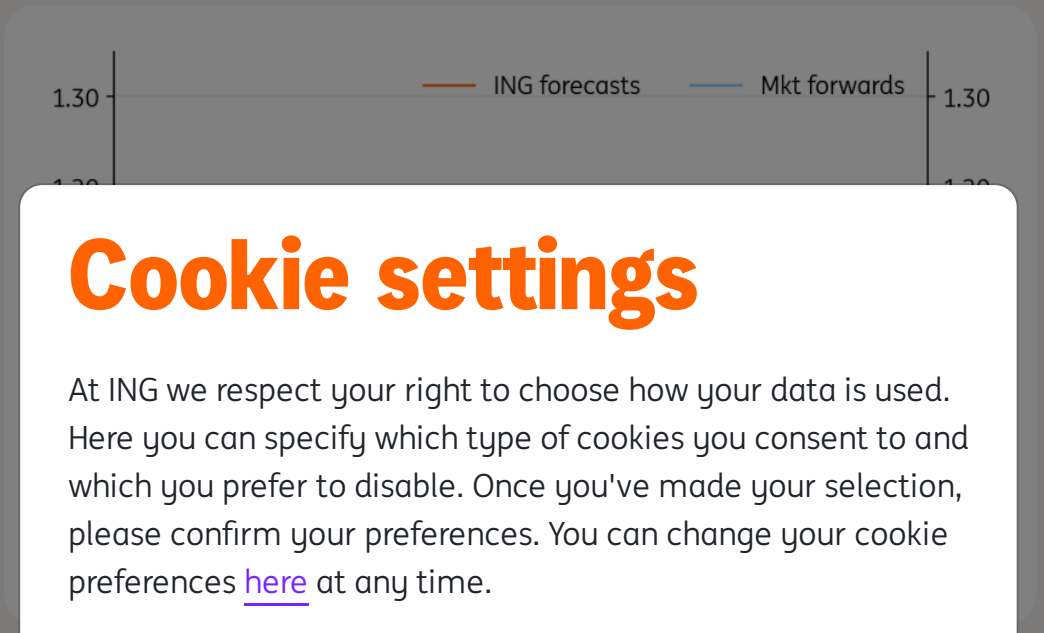
EUR/USD: French debt concern dominates

	Spot	One month bias	1M	3M	6M	12M
EUR/USD	**1.1203**	Neutral	1.13	1.13	1.13	1.16

- A hawkish Federal Reserve hike in September and a continued rise in US yields are pressure testing the global financial system. The most recent asset class to give way is French government debt, where politicians lack the urgency to tackle budget deficits. We see

this more akin to the 2018 Italian debt crisis – again, driven by elections – rather than Greece's selective default in 2012.

- Expect more volatility in the OAT-Bund spread into year-end, but passage of modest fiscal consolidation should prevent a much heavier sell-off in French debt and the euro.
- EUR/USD is set to stay offered in a 1.10-1.15 range. The main risk to the upside stems from uncertain White House policy post the November midterm elections.



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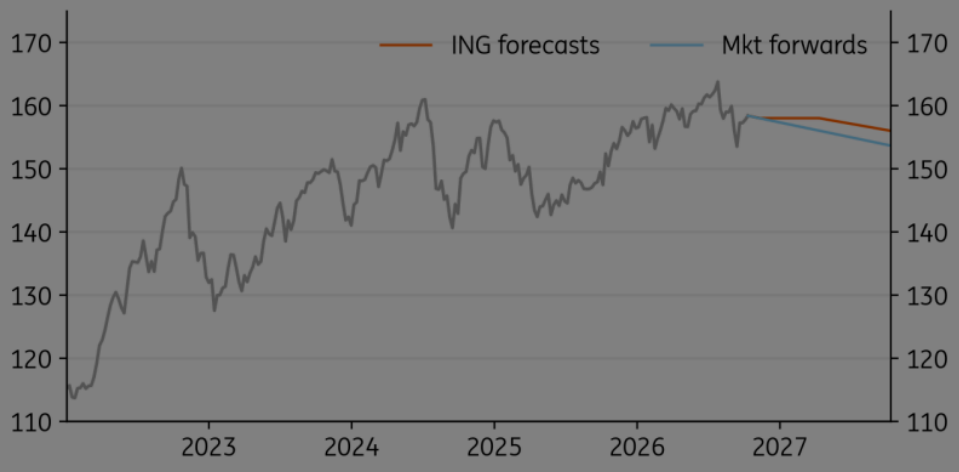
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of Japan hike sent it back to 158. What we've learned this year is that Japan and the US are uncomfortable with the pair above 160. But a move to 150 requires less hawkishness from the Fed and a much higher policy rate in Japan. That may not emerge until 2Q27.

- Domestically, growth is picking up in Japan, but we doubt the BoJ is ready to accelerate its tightening cycle. We think the next hike (to 1.50%) comes in January, or slightly earlier on 18 December.
- 30 October is a big date for USD/JPY. No BoJ hike and no news of GPIF fund re-allocation to Japan could weigh heavily on the yen.



Source: Refinitiv, ING Forecasts

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market sell-off.



Source: Refinitiv, ING Forecasts

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would help the yen.



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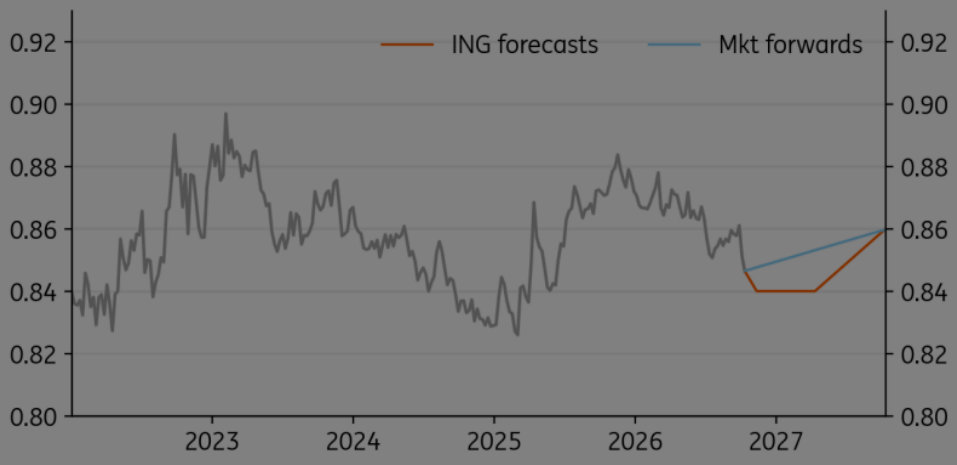
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headlines that are typically welcomed by sterling.



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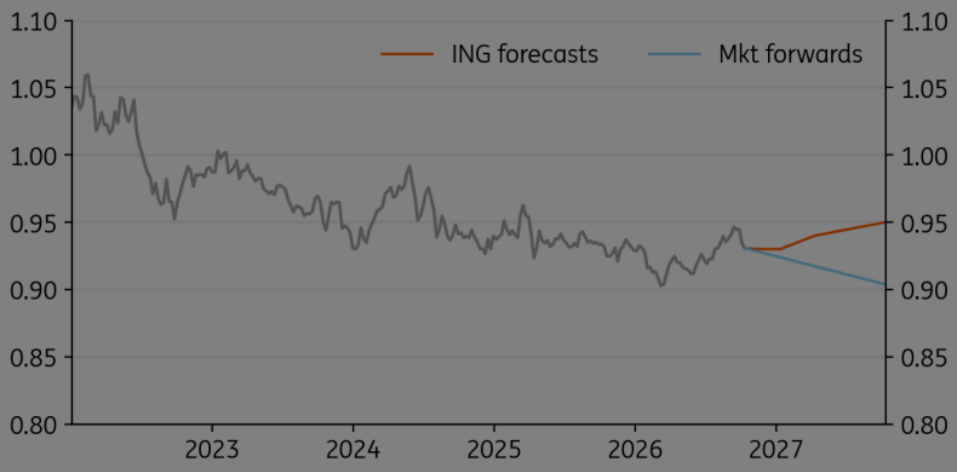
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EUR/CHF again in the 0.90/91 region – though in small amounts.



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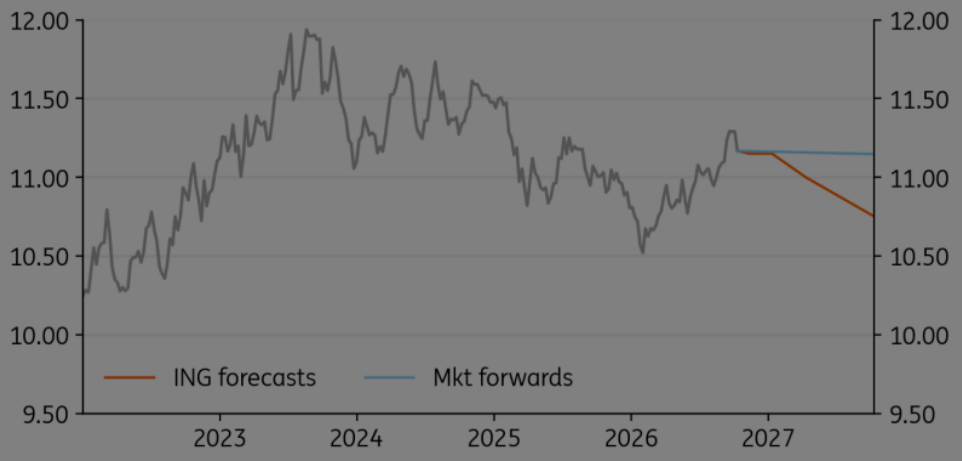
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We retain a bearish EUR/SEK profile, which relies heavily on some improvement in geopolitical conditions and, to some extent, in French risk weighing on the euro for longer.



Source: Refinitiv, ING Forecasts

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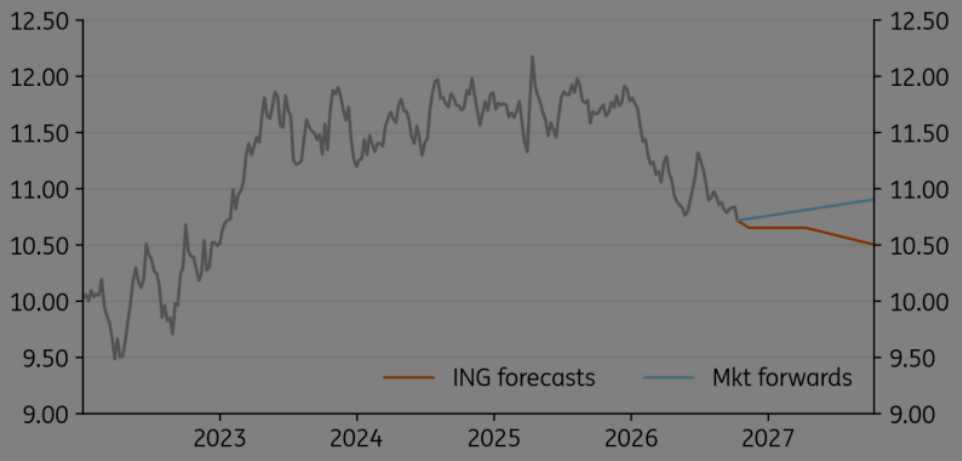
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appears imminent at this stage. EUR/NOK is incidentally being dampened by the soft euro, which is offsetting the poorer liquidity environment.



Source: Refinitiv, ING Forecasts

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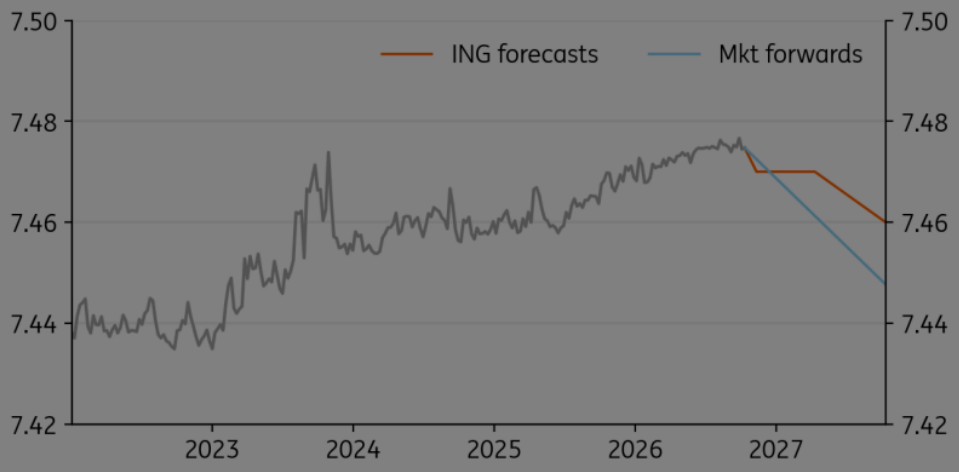
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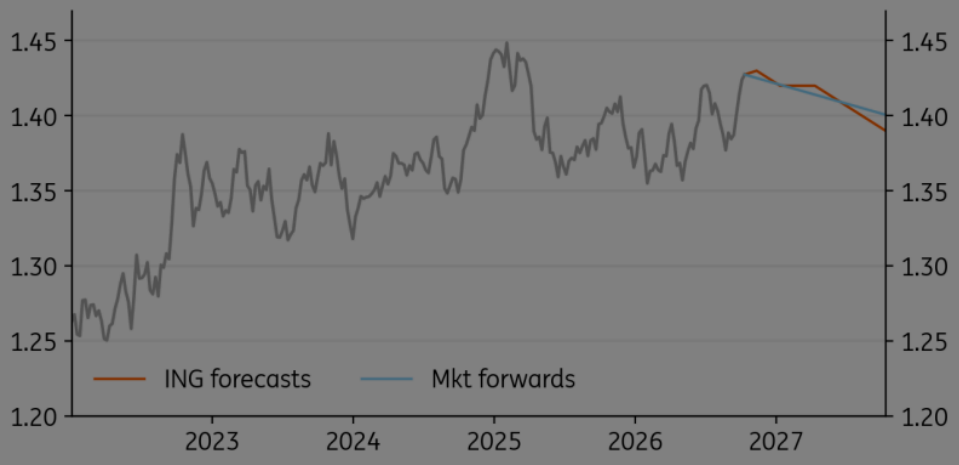
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- US-Canada trade tensions are not playing a major role in CAD trading, but they remain a non-negligible downside risk, either directly or indirectly via a softer economic outlook and less room for rate increases.



Source: Refinitiv, ING Forecasts

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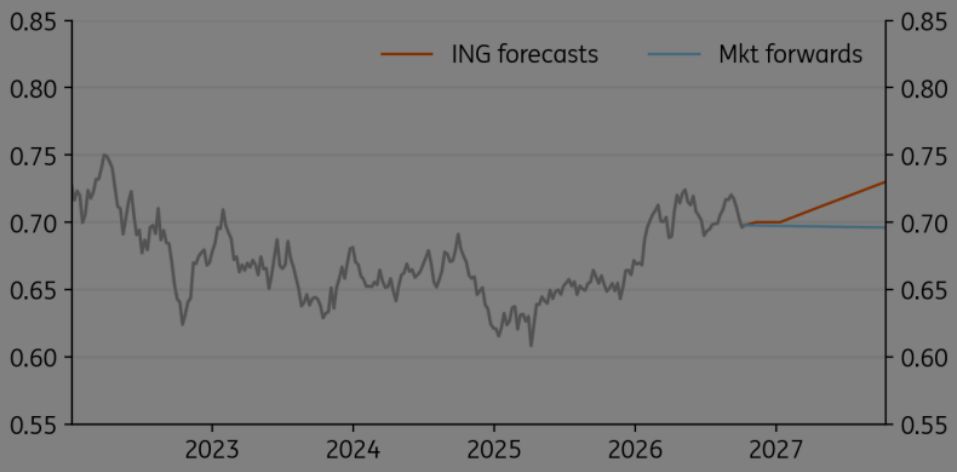
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more realistic target for year-end. We still see strong potential for AUD gains in 2027, as global inflation concerns may finally start to ease.



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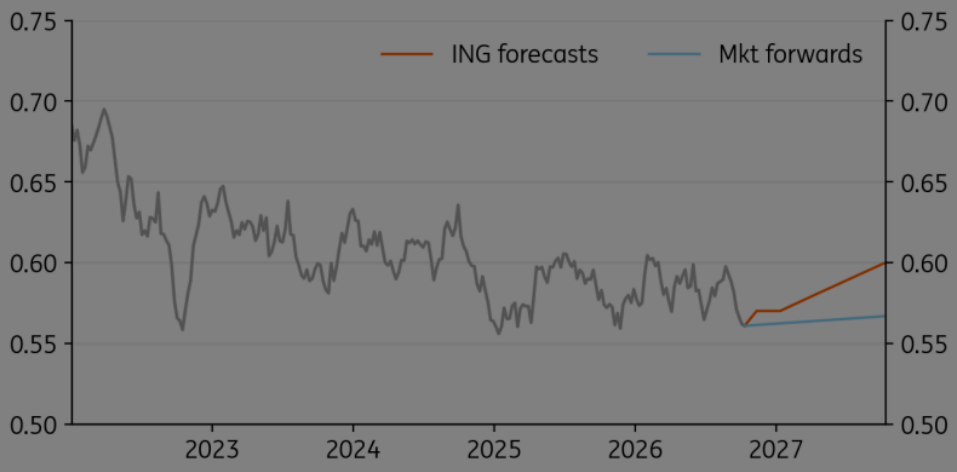
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tuning of the policy message looks likely anyway. We have revised our NZD/USD lower but still see upside potential next year.



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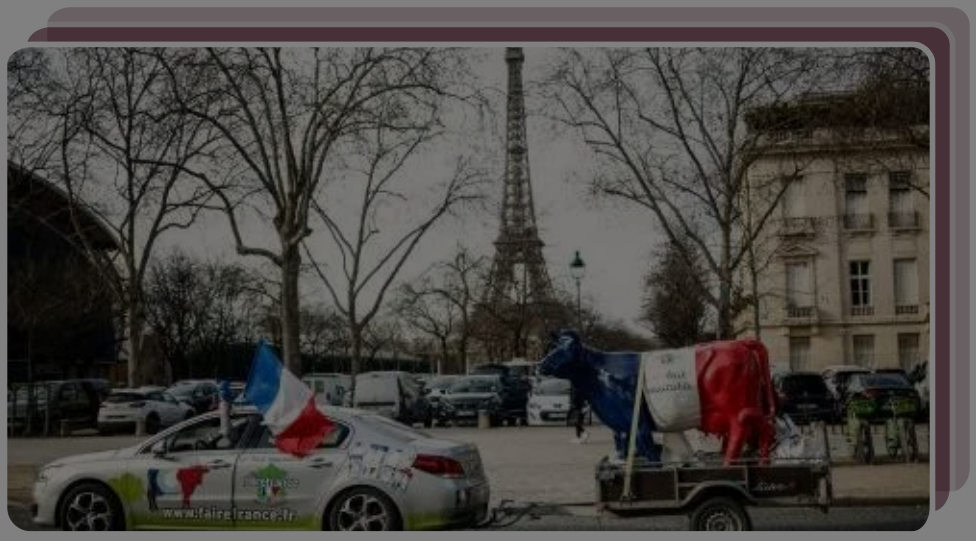
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BUNDLE

YESTERDAY, 10:50

FX Talking: Au revoir, euro bulls

This bundle contains 6 articles

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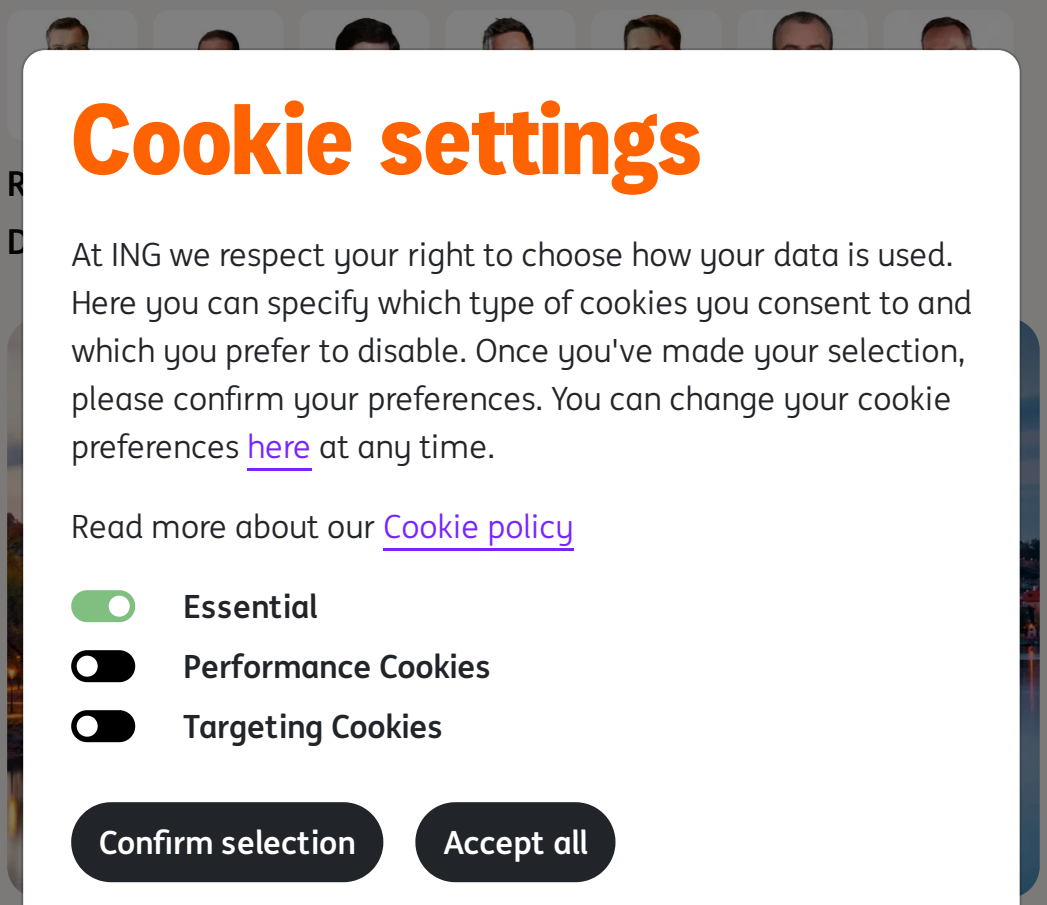
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Like many emerging market currencies, those in the EMEA region have been hit by higher US Treasury yields and the stronger dollar. Yet the domestic stories look constructive for many, and a combination of some local rate hikes as well as light foreign positioning (ex Hungary) can insulate these currencies from the global bond market sell-off



Light foreign positioning and some local rate hikes can keep EMEA currencies relatively insulated

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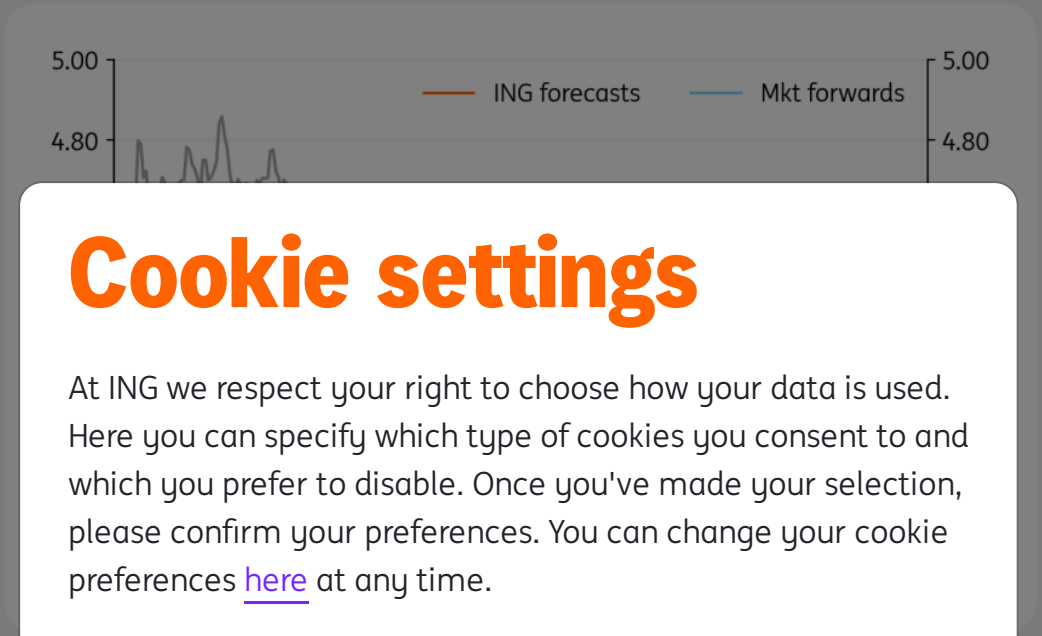
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EUR/PLN: Zloty swings with market sentiment

	Spot	One month bias	1M	3M	6M	12M
EUR/PLN	**4.3877**	Mildly Bearish ↘	4.36	4.35	4.33	4.29

- EUR/PLN has moved towards 4.40 after trading around the 4.30 level during summer. With market sentiment deteriorating amid geopolitical tensions in Iran, France and Russia, the coming weeks could challenge the zloty.

- PLN has recently strengthened its correlation with EUR/USD, so the dollar's future moves will be the key driver in the currency's performance, while domestic factors are likely to take a back seat.
- We retain a broadly positive stance on the zloty in the medium term due to solid GDP momentum and persistent outperformance. However, the balance of risks has become less favourable; the National Bank of Poland may deliver fewer hikes than priced, and a hot budget debate could reveal vulnerabilities.



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- While EUR/HUF has shown some volatility recently, the swings have been far more moderate than we used to see. This reflects general positioning and the euro adoption story.
- We think an idiosyncratic shock is coming with the 2027 budget and the mid-term fiscal consolidation plan. If the government delivers a credible plan, as we expect, and announces official talks on joining ERM II, this could provide a credibility boost to the forint.
- A significant drop in the risk premium and some insulation from geopolitical market turbulence could take EUR/HUF down to the 350-355 area over the next month. This would, however, reopen the door to a National Bank of Hungary easing cycle starting in December, putting the HUF on a mild depreciation path over the following 12 months.



Source: Refinitiv, ING Forecasts

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- That said, the ECB may turn more hesitant despite elevated inflation, as concerns over French fiscal issues rekindle fears of another euro crisis. In turn, the real interest rate differential should help the koruna withstand the turmoil and gradually appreciate once things have calmed down.



Source: Refinitiv, ING Forecasts

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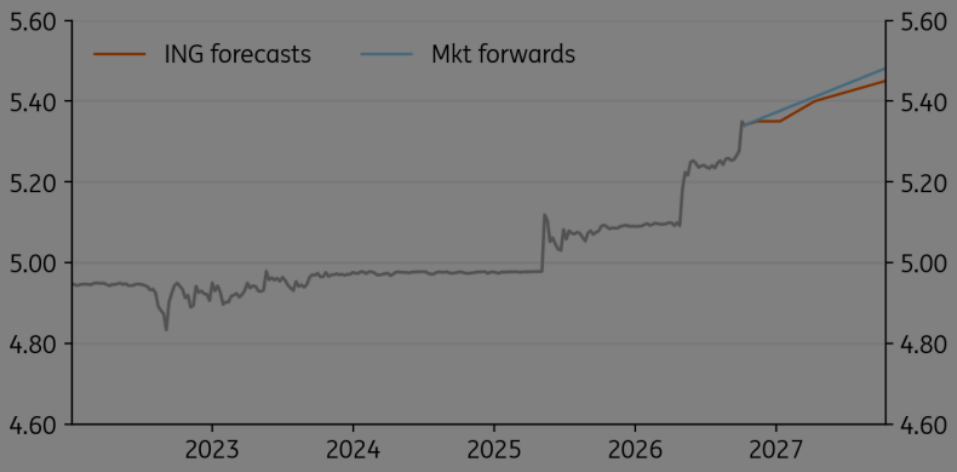
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- A tighter liquidity management has recently led FX implied yields to the highest levels since May 2025, although funding pressures have diminished from their early October peak. We expect the pair to remain around its current levels by year-end and close next year near 5.45.



Source: Refinitiv, ING Forecasts

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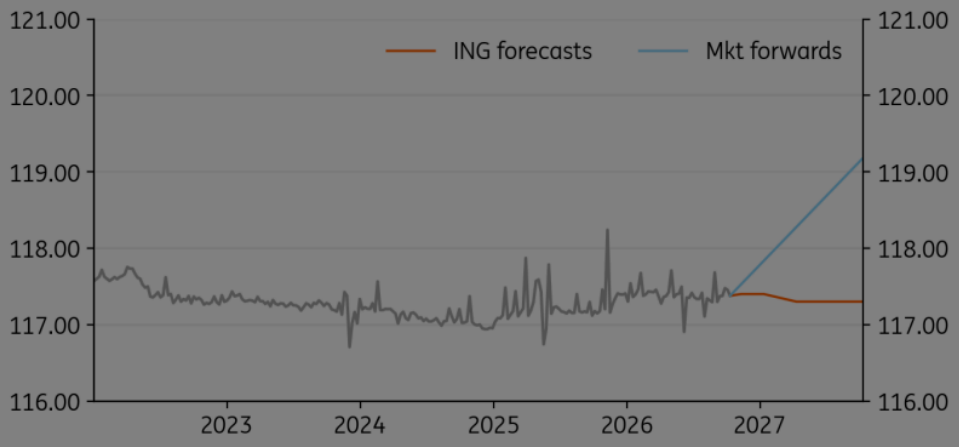
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rate in place at 5.75%, continuing to highlight inflation uncertainty. Between January and August, the Bank sold €407m to keep the pair stable. We expect the pair to remain around the current levels ahead.



Source: Refinitiv, ING Forecasts

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Source: Refinitiv, ING Forecasts

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uncertainty. At the same time, Kazakhstan's high real rates should continue to attract carry-trade inflows, while the eventual release of the state FX sales backlog could ensure KZT resilience if market sentiment deteriorates.



Source: Refinitiv, ING Forecasts

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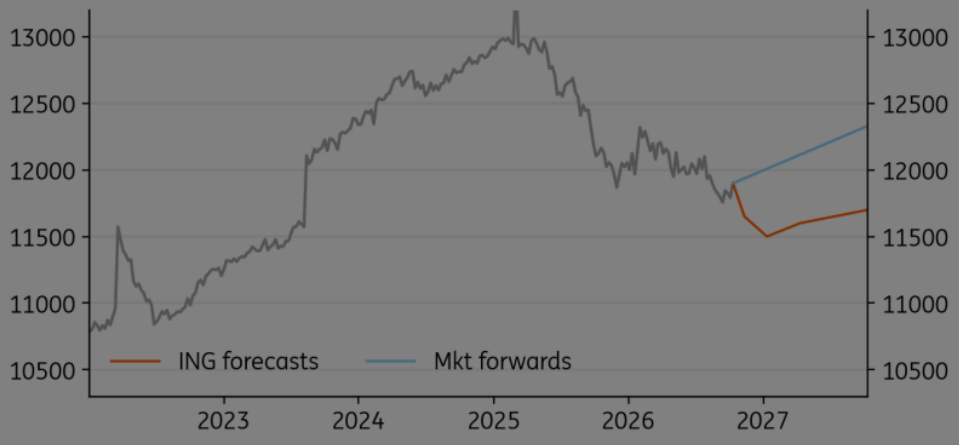
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continue doing so despite a potential monetary policy easing. As inflation has stabilised at 6.2-6.4% YoY, we see some room for a cautious cut from the current 14.00% policy rate before the end of the year.



Source: Refinitiv, ING Forecasts

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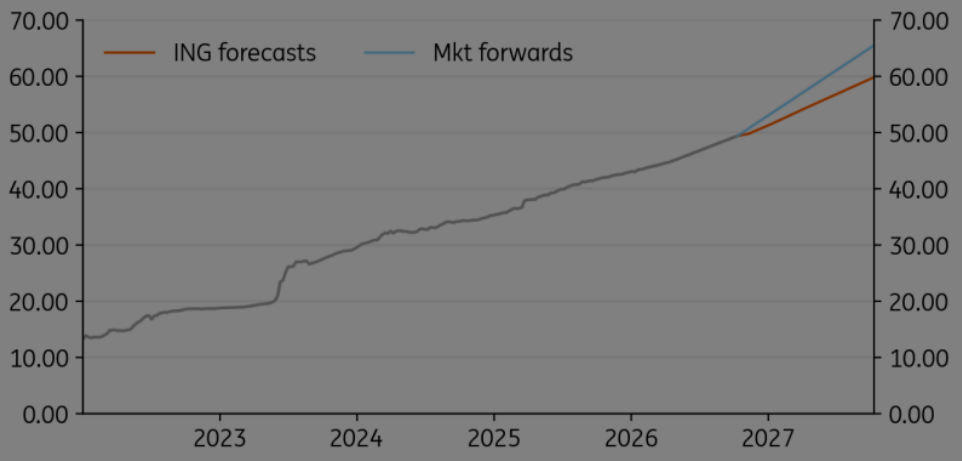
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- seen in recent years.
- This backdrop increases the likelihood of a shift toward policy rate cuts. The recent investment fund disruption is likely to raise downside risks to activity. Given September's CPI and weak domestic demand, we expect two 100bp cuts in October and December.



Source: Refinitiv, ING Forecasts

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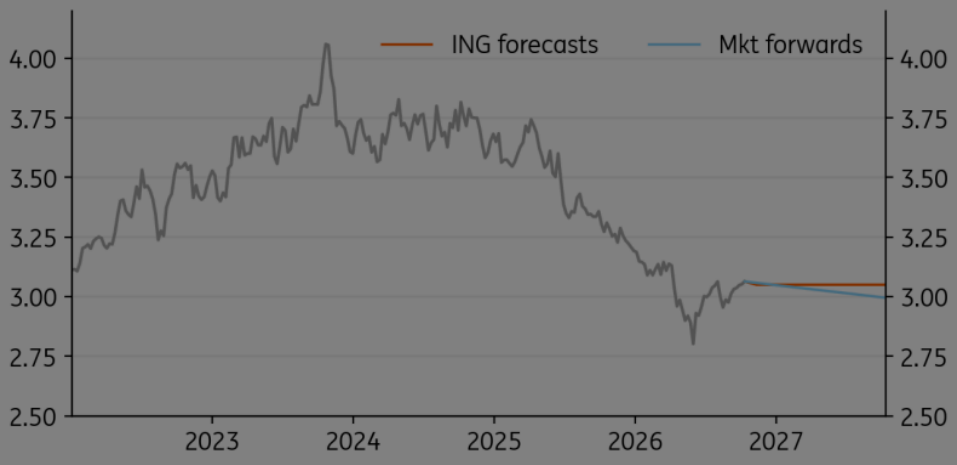
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- Longer term, the trade-weighted ILS is very firm, and we suspect Israeli authorities will struggle to tolerate much further strength.



Source: Refinitiv, ING Forecasts

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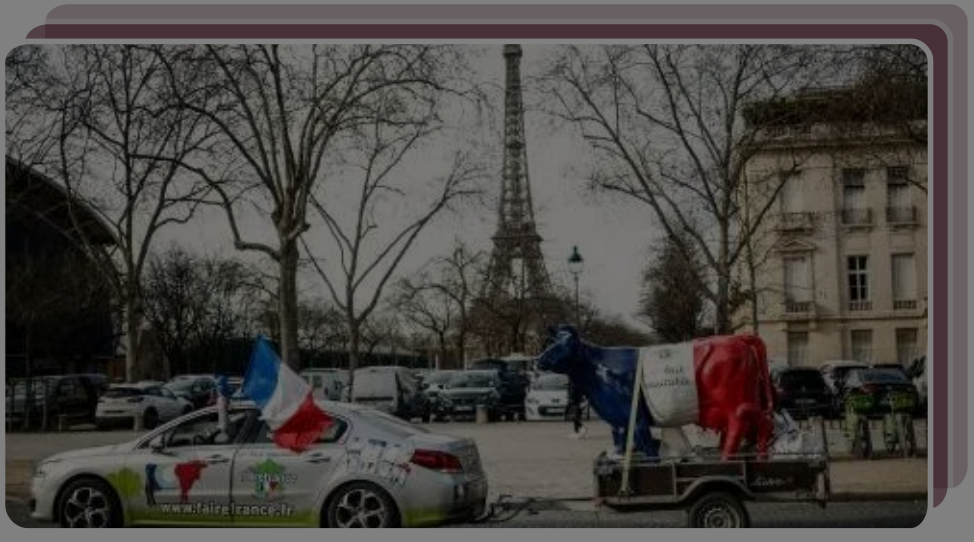
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BUNDLE

YESTERDAY, 10:50

FX Talking: Au revoir, euro bulls

This bundle contains 6 articles

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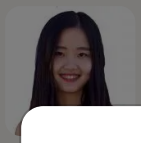
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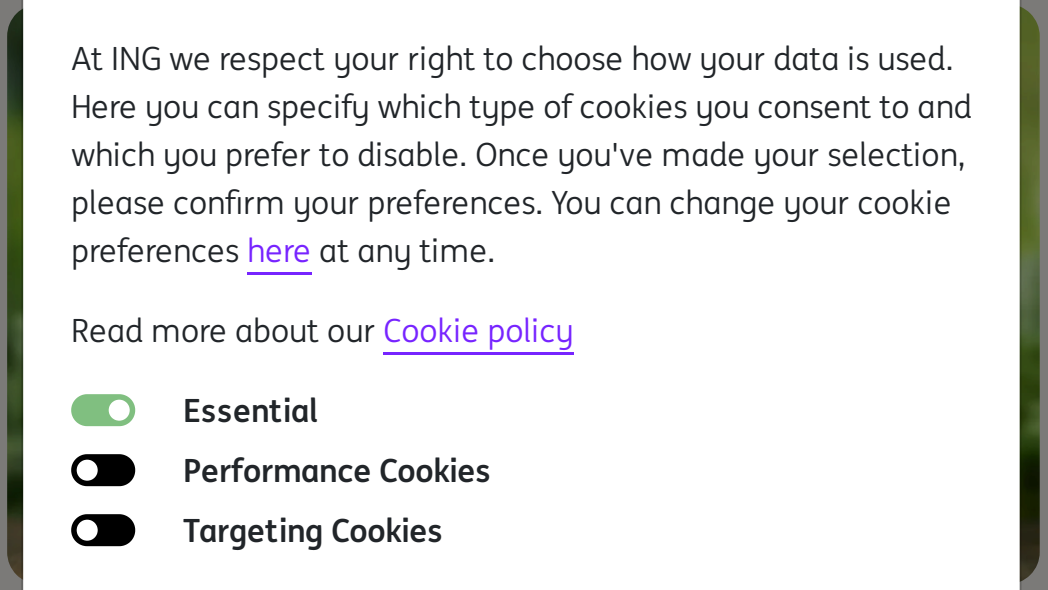
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As climate risks have a larger impact on supply chains, the need to finance resilience-building initiatives is increasing. Banks have an important role to play by expanding their financing toolkit, while companies with proactive resilience strategies can gain greater access to capital



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Climate and weather-related shocks are a growing source of supply chain risk. In August, the Rhine River's water levels hit a record low since 1880, hindering trade flows across Europe. In 2024, Hurricane Helene affected global tech and medical supply chains by flooding key ultra-pure quartz production facilities in the US. The upcoming "very strong" El Niño could substantially disrupt temperature and precipitation patterns across the globe next year, putting, for example, food production and trade at risk.

These events underscore the need to build supply chain resilience. Extreme weather is now a more impactful part of the supply chain

risk landscape alongside geopolitics and other risks.

Yet significant gaps remain. First, while the awareness of supply chain climate risks is rising, many companies have yet to acknowledge their financial materiality. Second, the uptake of financing solutions has not kept pace with supply chain resilience needs, despite trade finance supporting around 90% of global trade. This leaves financial institutions well positioned to expand financing solutions that support corporate supply chain resilience. Below is how they can do it.

Expanding banks' toolkit for supply chain r

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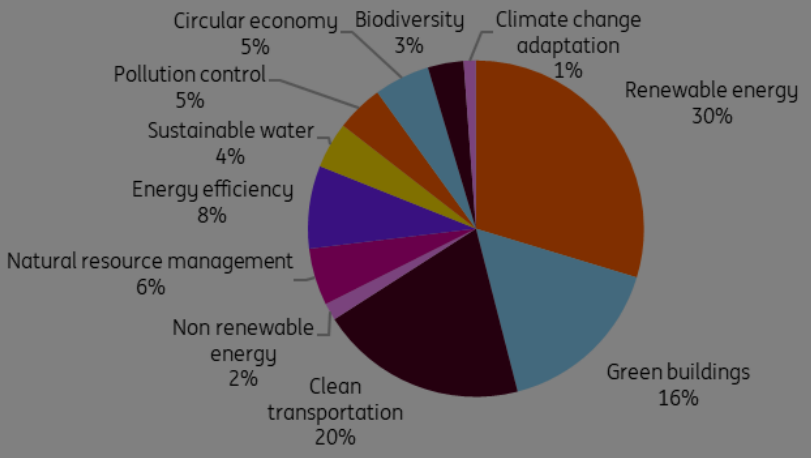
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Global green bond use-of-proceeds allocation, January-August 2026



Source: ING Research, BloombergNEF

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- The traditional supply chain and trade finance solutions can be tailored to integrate resilience objectives. For example, guarantees can support cross-border trade in climate-resilient goods, while preferential financing terms can reward companies that actively manage supply chain risks. By incorporating supply chain risk assessments into financing programmes and linking working capital solutions to supplier resilience, these products can help companies better withstand disruptions and support long-term growth.

- **Climate and resilience tech finance**

- Banks can provide financing and advisory services to help scale and deploy technologies that strengthen supply chain resilience. Examples include water management technologies, regenerative agriculture, and indoor farming. These solutions can improve the upstream supply chains of industries such as food, beverage, and hospitality. As interest in resilience technologies grows, financial institutions are increasingly developing tailored financing solutions to support their adoption.

- **Blended finance**
  - Some resilience technologies, projects, and markets may

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As banks work to expand their financing offerings to enhance supply chain resilience, companies would benefit from doing their part as well. My colleague Rico Luman has written about some best practices companies can adopt in their day-to-day operations. These include building up inventory of high-risk supply materials, diversifying suppliers and transport routes, and improving supply chain visibility. Financing solutions that link resilience to working capital, for example, can help companies strengthen these efforts.

Companies can also look beyond day-to-day operations and invest in longer-term resilience initiatives, such as climate-resilient materials, water management technologies, and other adaptation s
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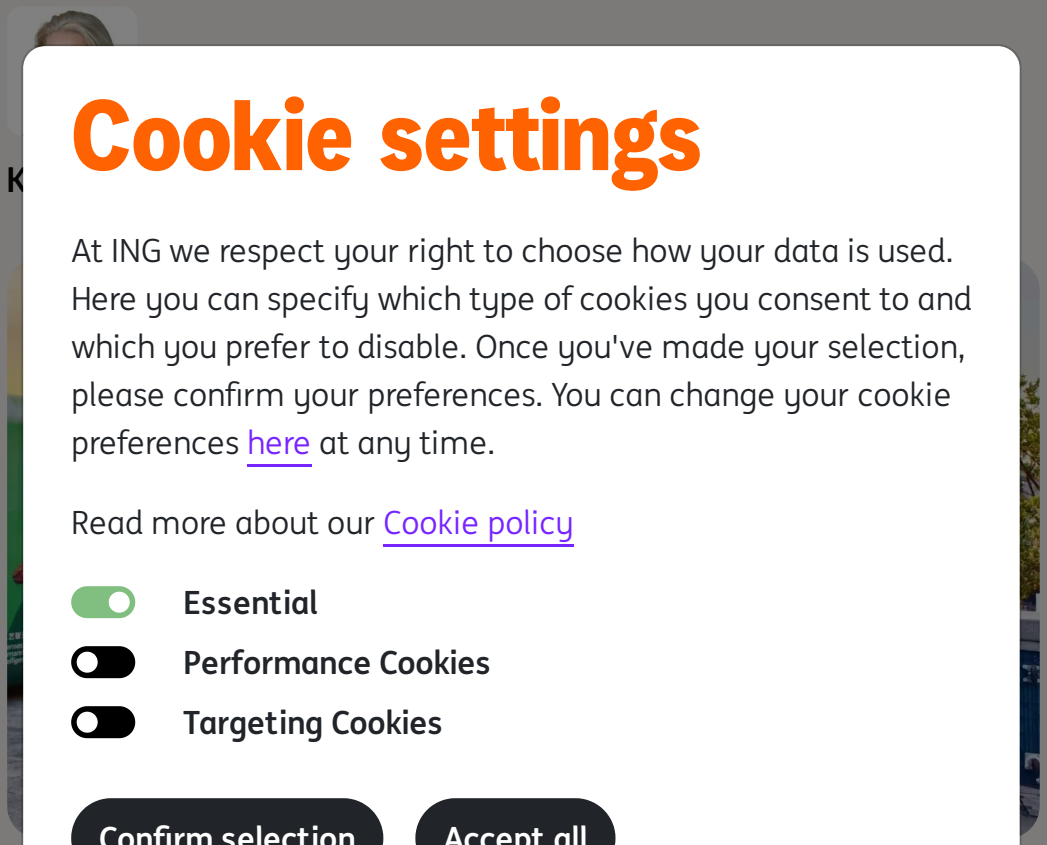
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Agentic commerce, where autonomous AI agents independently select and purchase products on behalf of consumers, is forcing retailers to rethink their role. As AI takes over more of the buying process, physical stores are evolving from a sales channel into a destination for advice, service, experience, and omnichannel support



how consumers shop

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Agentic commerce fundamentally changes the buying process

Retail is entering a new phase of digital disruption. E-commerce has already transformed *where* consumers shop; agentic commerce is set to change *how* they shop. Autonomous artificial intelligence agents can search, compare and purchase products on behalf of consumers, shifting shopping from an active task to an increasingly automated background process.

Agentic commerce goes beyond AI assistants and comparison websites

Key differences between agentic commerce, AI assistants (such as ChatGPT and Gemini) and comparison websites

	Agentic commerce	AI assistants	Comparison websites
Role in customer journey	Actively manages parts of the customer journey	Provides information and recommendations	Helps consumers compare products and prices
Degree of autonomy	High: can execute tasks independently	Low to medium: provides recommendations	None
Decision-making role	Makes decisions	Decisions remain with	Decisions remain with

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optimal time to buy.

Adoption is likely to be slower for luxury, trend-sensitive and experience-driven products. In these categories, inspiration, emotion, and personal preference remain central to the purchasing decision, making consumers less inclined to relinquish control. AI agents can assist by pre-selecting products that match predefined preferences, but final purchasing decisions are likely to remain firmly in the hands of the consumer.

Consumer electronics and personal care lead the adoption of agentic commerce

Within non-food retail, agentic commerce appears particularly well suited to consumer electronics and personal care. Both sectors are characterised by a high degree of product standardisation and a large share of repeat purchases, making them ideal candidates for AI-driven purchasing.

In consumer electronics, purchasing decisions are often based on objective and easily comparable criteria, including price, technical specifications, and availability. This makes products such as t
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Product categories most and least suited to agentic commerce

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Segment	Suitable for agentic commerce	Products most suited	Products least suited
Consumer electronics	High	Standardised products with clearly measurable specifications.	Hobby-related products and more complex products that require expert advice
Personal care	Medium to high	Routine and repeat purchases	New product launches, fragrances and highly personal products
Fashion	Medium	Basic apparel (t-shirts and socks)	Trend-driven and luxury fashion items
Home furnishings	Medium	Functional furniture, replacement purchases, and products with clearly measurable features.	Trend-driven products, customised products, and decorative items

Source: ING Research

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Chinese platforms lead adoption

Agentic commerce creates the greatest opportunities for large global marketplaces and technology companies. These players combine vast product assortments with the scale, data and infrastructure needed to deploy AI agents effectively. Their integrated ecosystems, including payment solutions, logistics networks, and data platforms, enable them to integrate AI agents into their business operations faster and more effectively.

Chinese platforms such as Alibaba and JD.com currently lead the way, with AI agents already deeply integrated into their respective platform networks. These agents can not only provide product

recommendations but also complete purchases autonomously. Meanwhile, US technology companies including Amazon, Google, Meta, OpenAI and Anthropic are investing heavily in the development and rollout of AI agents, intensifying the global race for leadership in this emerging market.

European players are structurally lagging behind their American and Chinese competitors. Stricter regulation and less integrated platform networks limit their ability to bundle scale, data and services. While Zalando is among Europe's frontrunners in AI-powered retail, its applications are currently focused on product discovery, comparison, and selection. Fully autonomous p

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their role is changing

How will the role of the physical store evolve in an AI-driven retail landscape?

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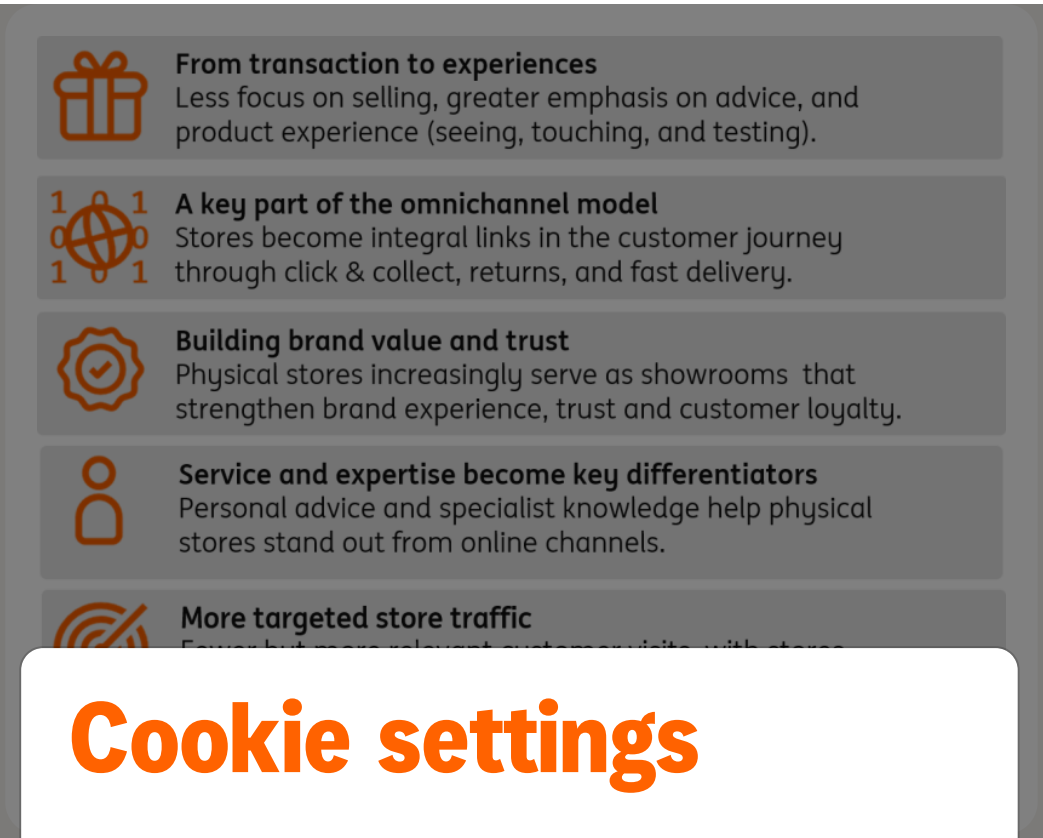
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Retailers that successfully integrate their physical and digital channels, define clear roles for their stores, and deploy technology strategically can strengthen their position within the customer journey. In a future shaped by AI-driven commerce, their role will increasingly centre on adding value where automation cannot.

Retail | Consumption | AI

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Crude tanker rates have hit all-time highs amid the prolonged Iran war and Strait of Hormuz disruption. Restructured oil flows and a rush for capacity to handle oil transport operating under military protection have driven rates sharply higher, adding further pressure to fuel prices alongside strong refinery margins



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Tanker shipping thrives in risky waters amid a continued capacity squeeze

Oil tanker markets sit at the centre of geopolitical turmoil, and this year that has translated into record-breaking freight rates as the conflict in the Middle East drags on. Tankers have been caught up in sanctions regimes and repeatedly targeted in key shipping lanes, including the Strait of Hormuz, Bab al-Mandeb and the Gulf of Aden.

At the same time, demand for tanker capacity has surged as traders seek alternative routes and sources of supply, including

increased shipments from the US. The opening of a protected corridor through Omani waters has enabled additional crude exports and vessel movements, but has also placed further strain on an already stretched market. Shuttle services now operate around the Strait of Hormuz, with under the radar activity and ship-to-ship transfers taking place outside the chokepoint.

The conflict and tanker seizures in the Persian Gulf erupted at a time when the market was already facing a shortage of capacity. New deliveries of crude carriers slowed sharply following a record-low order book in 2022-23, while an increasing number of older and smaller vessels joined Russia's shadow fleet, further reducing the p

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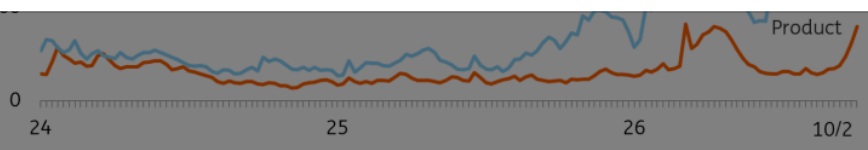
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Source: Clarksons, ING Research

Crude tanker earnings rose tenfold on rush for capacity

The capacity squeeze, combined with operating in risky war zones and facing highly elevated insurance premiums, has sent tanker rates soaring. We have seen previous surges in this volatile market,

such as in 2022 after sanctions were placed on Russia, but this spike is beyond levels ever seen before.

Average global crude vessel earnings exceeded an unprecedented level of $500,000 per day, 10 times the 2025 average, in early October. For Suezmax tankers and very large crude carriers (VLCCs, with a maximum capacity of 2m barrels) alone, rates surged even beyond that. Crude shipments from Ras Tanura in Saudi Arabia to Rotterdam made up about $2/bbl in 2025; in September, this surged beyond $35. Combined with high refinery margins (the current crack spread of diesel in Europe is about 2.5 times the 2025 average), this could add over $0.50 to the base price of a litre of d

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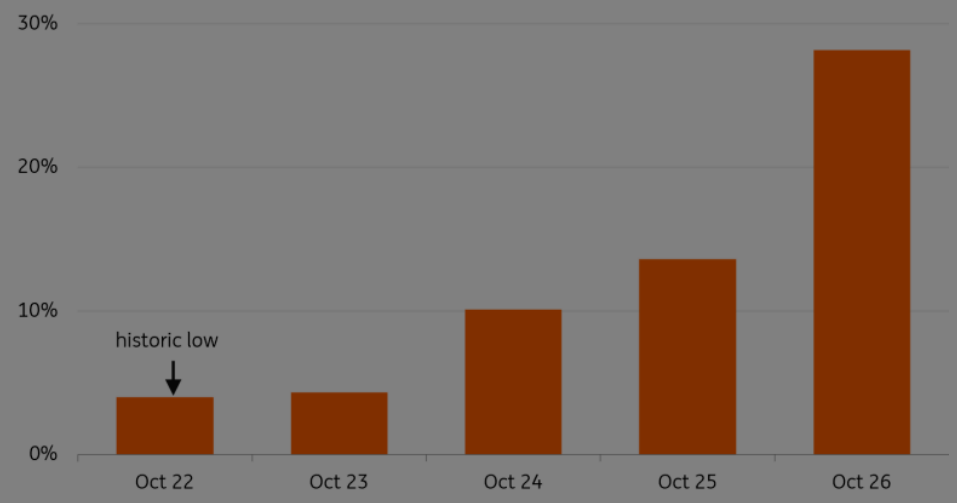
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delivered in 2028-29, likely after the current boom ends. It's all about geopolitics and how the Middle East conflict evolves, but tanker markets could still see a solid 2027.

Tanker | Shipping | Oil prices | Oil demand | Hormuz | Fuel | Diesel

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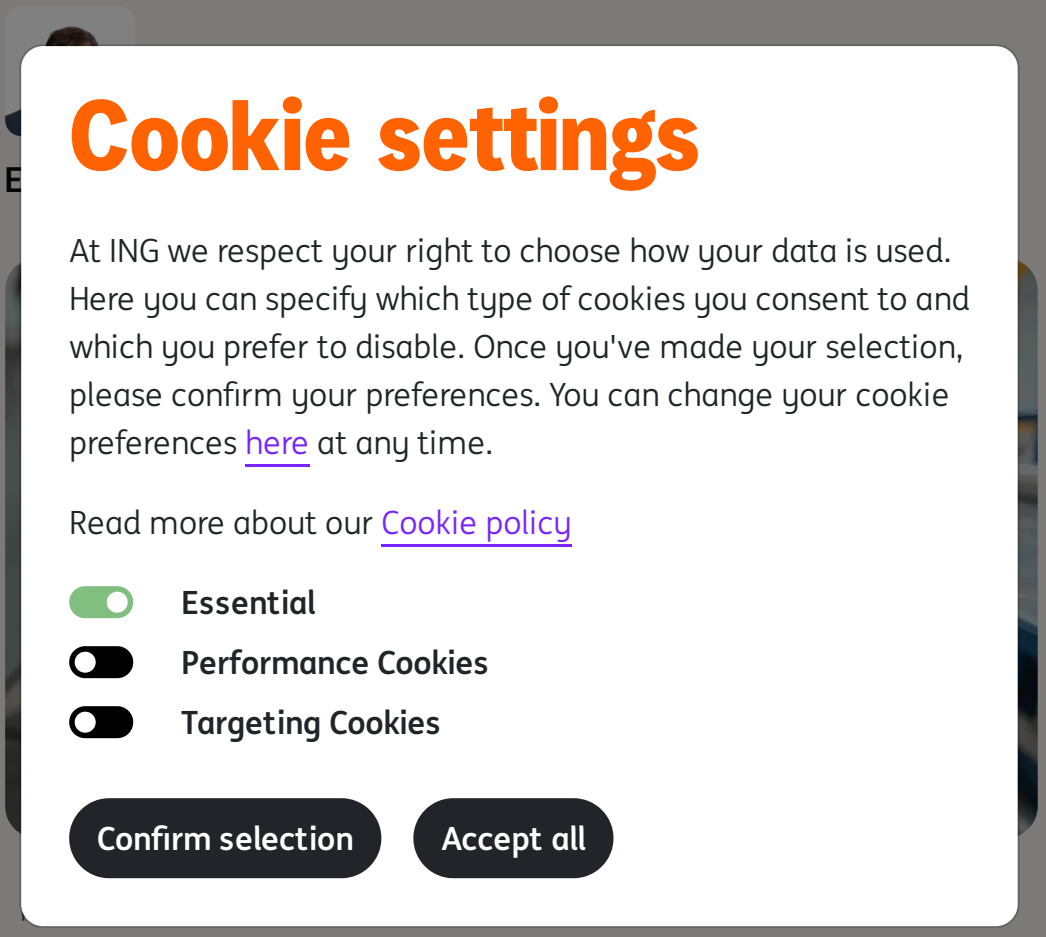
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The Iran war has hit EU chemicals less severely than feared, with production, capacity utilisation and margins improving in recent months. But renewed import competition will cloud the outlook once Gulf oil and gas supplies to Asia recover. To reverse the industry's long-term decline, producers and policymakers must accelerate the green transition



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Boost from softer Asian competition

The Iran war has hit European chemical producers less severely than feared. After the first tariff shock in early 2025, demand initially rose as customers brought forward purchases amid supply chain uncertainty. The main boost, however, came from weaker imports. Damage to Middle Eastern plants and Strait of Hormuz blockades sharply reduced production and exports. About a quarter of regional polyethylene capacity was damaged, with repairs likely to take months.

Elsewhere in Asia, producers faced prolonged feedstock and energy shortages. Asia depends far more on Gulf oil, gas and raw materials than the EU does. Before the conflict, Asian countries sourced 40-90% of their oil from the region, compared with around 20% for the EU.

Earnings improve strongly, but production returns to previous level

Reduced competition and tighter supply conditions drove three consecutive months of growth in EU chemical production from February to April, while sharp price rises provided a significant b d a t

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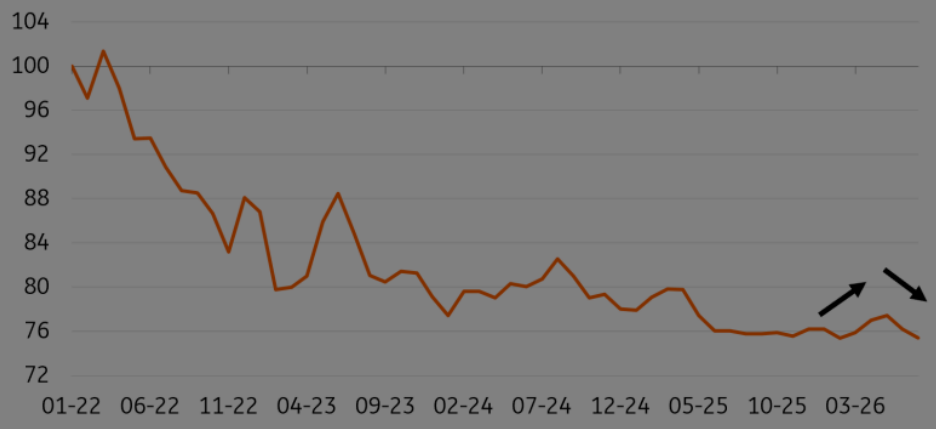
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*seasonally adjusted production, 2-month moving average

Source: Eurostat

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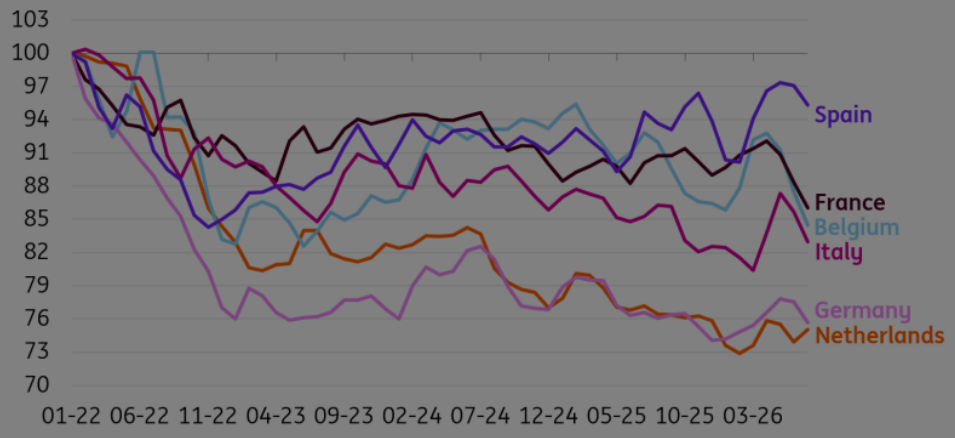
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recovery funds have helped accelerate the expansion of renewable power capacity.

Spain's chemical industry has held up relatively well in recent years

Monthly production level of the chemical industry, January 2022 = 100*



*seasonally adjusted, 2-month moving average

Source: Eurostat

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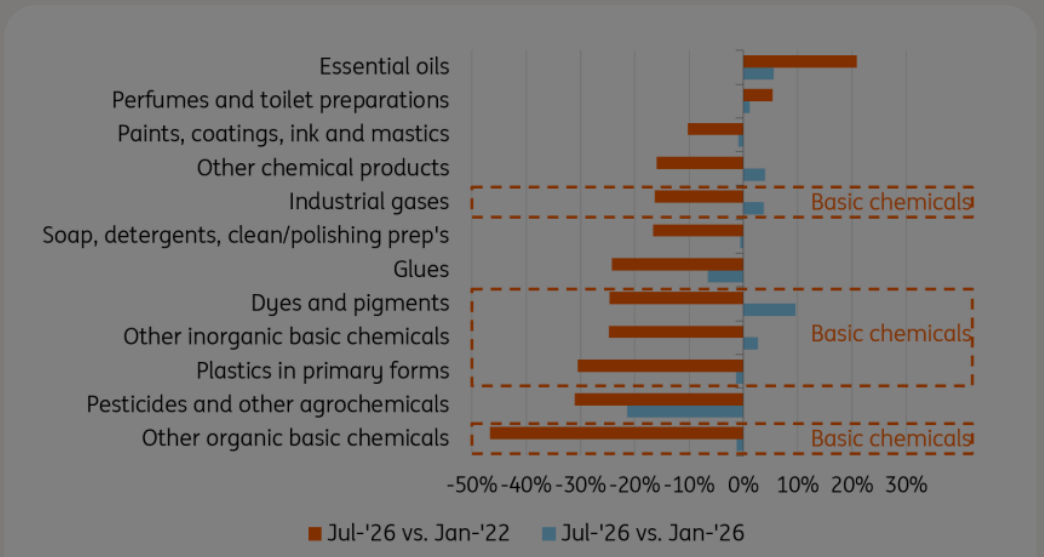
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Consumer chemicals, including oils, extracts, perfumes and toiletries, are the only segments to have grown both since early 2022 and since the start of this year. These downstream products are less exposed to volatile energy prices and generate more value through innovation. Speciality chemicals such as paints, coatings and cleaning products sit between the two: output remains structurally weak but has declined less than in basic chemicals.

Basic chemicals have been the hardest hit in recent years

Output volume mutation per EU chemical subsector*



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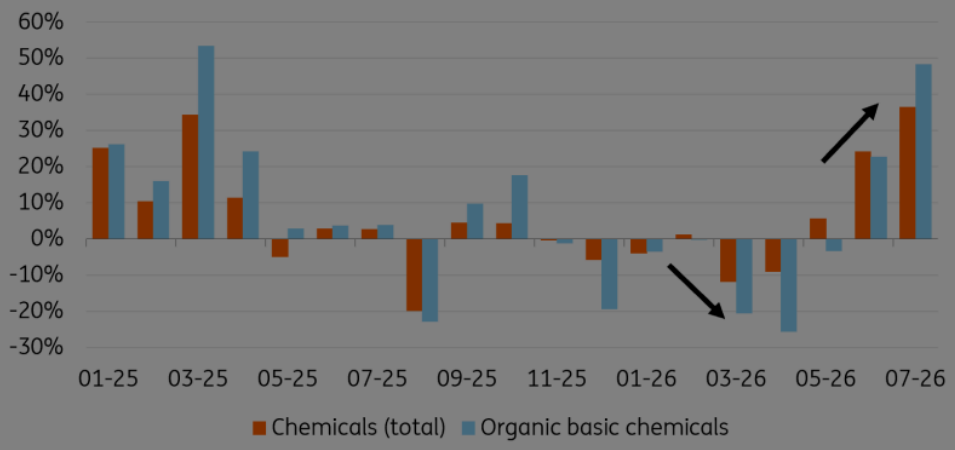
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Rebound of organics setting the tone for chemical imports from China

EU imports of chemical products from China per month, % YoY



Source: Eurostat

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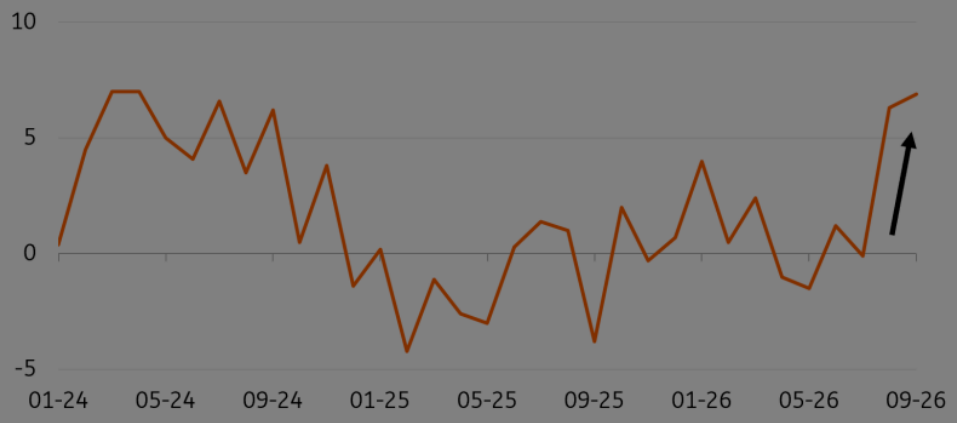
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shipments through Hormuz have recently increased to almost 80% of pre-war levels.

Production expectations improve again

Production expectations for the months ahead, EU chemical industry



Source: European Commission

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a limited recovery in end markets. Higher energy prices squeeze consumer purchasing power, hitting consumer chemicals hardest. Speciality chemicals have better prospects as investment rises and the AI boom lifts demand for products and materials used in:

- Sustainability and electrification, including battery materials, chemical catalysts, flame retardants, lightweight resins and composites.
- Defence equipment, including reinforced plastic fibres, advanced coatings and lubricants.

- Semiconductors, including photosensitive polymers and ultra-pure speciality chemicals and gases.

Higher energy and feedstock costs will bite more gradually

Chemical prices closely track energy costs, so expensive and volatile energy will also make them higher and more volatile. Yet the steepest rise in selling prices appears to be over. Although most producers expected to raise prices in August and September, the expectations index was stable just below its long-term average – a far milder increase than after the Iran war began. This suggests s
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Selling price expectations for the months ahead, EU chemical industry

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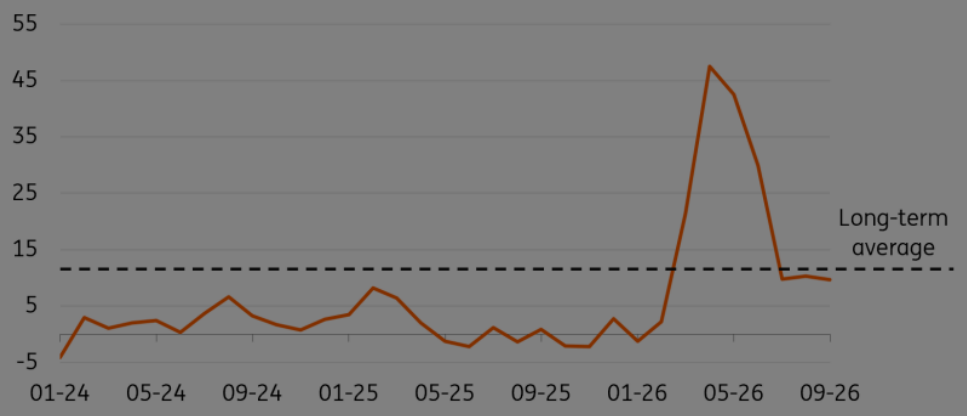
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Source: European Commission

Structural problems will resurface

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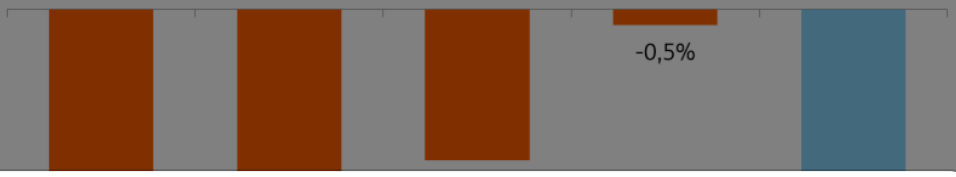
Restructuring wave is not over

Despite somewhat better market conditions this year, restructuring is likely to continue. Most major players have announced strategic interventions in recent years. Earlier this year, SABIC sold its European petrochemical operations, while Evonik is implementing a multi-year plan of divestments, closures and reorganisations. Ineos plans to close three UK chemical plants, and Shell wants to sell its entire chemicals division, including a major European cluster. European chemical capacity shrank by 30 million tonnes, or 7%, between 2022 and 2026. Announced plant closures increased sixfold over this period, while investment fell sharply. Petrochemical

capacity was hit hardest, down 11%, whereas specialty chemicals held up best, declining just 0.5%.

European production capacity structurally declining

% decline in European chemical production capacity, 2022-2025*



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electricity prices. In July 2026, the European Commission proposed extending the emissions-reduction pathway, modestly easing the cost increase, alongside more financial support for clean-technology investment.

CBAM offers only partial protection for EU chemicals

Fertilisers and hydrogen are covered by the CBAM levy, which protects against imports not subject to carbon costs. In return, free allowances for CBAM products will be phased out

faster, reaching zero by 2034. This will widen the cost gap between efficient, electrified installations and older fossil-based plants. Besides the faster phase-out, CBAM has several drawbacks for chemical companies:

- The levy can be circumvented when a chemical feedstock is covered by CBAM but a product containing it is not. This may encourage imports of finished or intermediate products from outside the EU. The European Commission's proposed expansion mainly targets downstream steel and aluminium products, not the wider chemical value chain.

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start Project One in Antwerp this year, introducing a modern ethylene cracker that initially emits less than half as much CO_2 as the EU's most efficient cracker and becomes climate-neutral within ten years.

Spain's Repsol aims to decarbonise its Tarragona complex through circular chemicals and methanol, large-scale green hydrogen and offshore CO_2 storage. In September, fertiliser producer Yara began shipping liquid CO_2 from Sluiskil in the Netherlands to Norway for the permanent underground storage of 800,000 tonnes of CO_2 a

year by Northern Lights, a partnership between Equinor, Shell and TotalEnergies.

Such projects can quickly cost hundreds of millions of euros a year. The €5bn Project One has contributed to the doubling of INEOS's debt since 2021, while the group suffered a loss of more than €500m in 2025. Chemicals are therefore widely seen as a hard-to-abate sector. Governments often co-invest, but poor operating conditions, inadequate green infrastructure and weak demand for sustainable products still obstruct large-scale decarbonisation.

Infrastructure and decarbonisation i

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dependencies therefore offers the sector welcome support.

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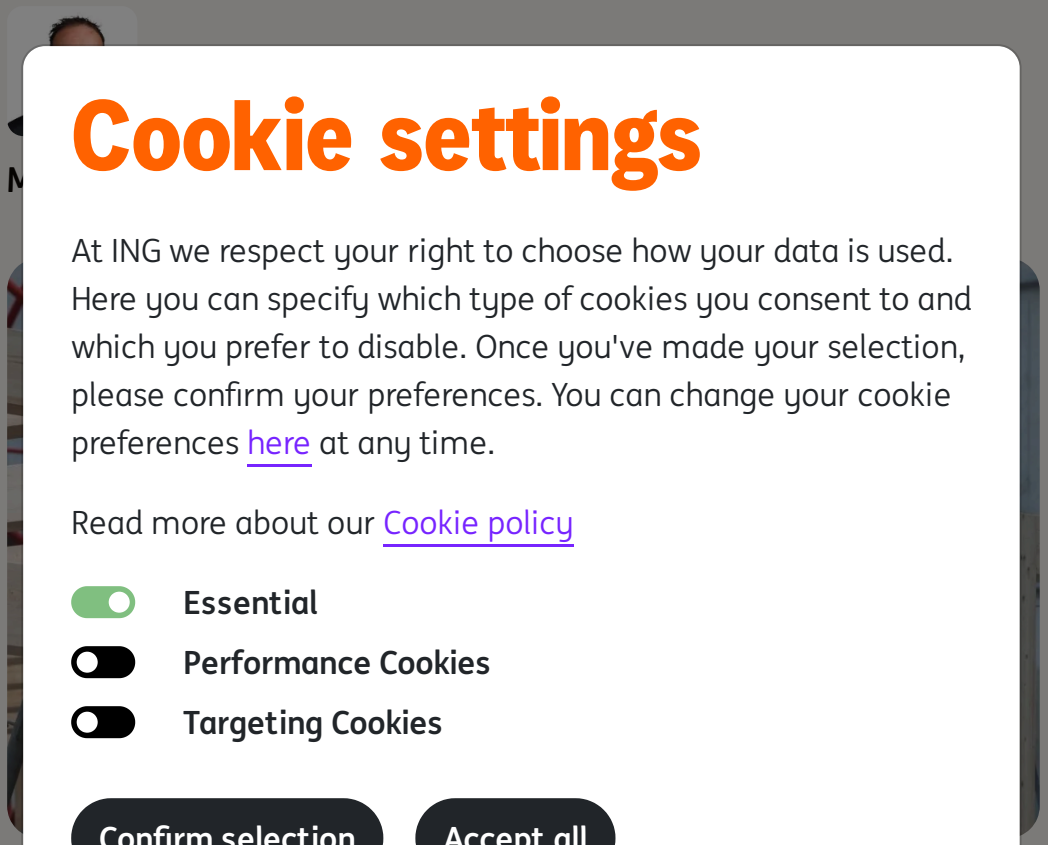
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Europe's construction volumes will keep growing but remain subdued. Infrastructure investment and Germany's gradual rebound are drivers, while higher financing costs and geopolitical risks cap momentum. Housing permits have stabilised, signalling that a stronger residential recovery will have to wait



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Low growth returns in 2026

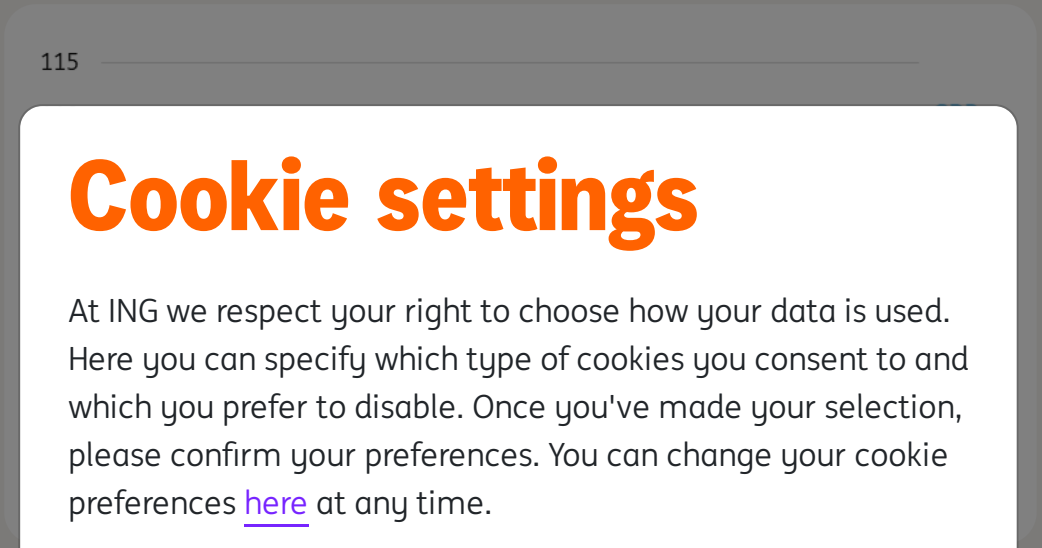
We expect EU construction output to grow by a marginal 0.5% in 2026, following a 1.8% decline in 2024 and 2.3% growth in 2025. More broadly, EU GDP has outpaced construction output in recent years, showing that the construction sector has lagged the broader economy.

The positive signals seen in early 2025 have since weakened. By September, the EU construction confidence indicator had stopped improving and had fallen below its level a year earlier. Nevertheless,

the EU economy has remained surprisingly resilient despite higher energy prices, rising interest rates and greater geopolitical uncertainty. Increased defence and infrastructure spending, together with Germany's cyclical rebound, is partly offsetting the headwinds.

EU construction lags GDP growth

Volumes, Index 2018 Q2 = 100



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and sustainability projects, while infrastructure investment, supported by EU funds and spending on energy and digital networks, has provided an additional offset.

EU construction forecast

Volume output construction sector, % YoY

	2024	2025	2026*	2027*
Austria	-2.0%	-0.1%	0.0%	1.0%
Belgium	-1.2%	0.2%	-0.5%	0.5%
France	-3.9%	-3.5%	-2.5%	-1.5%
Germany	-3.2%	-1.8%	1.0%	2.0%
Netherlands	-1.1%	1.9%	0.0%	1.0%
Poland	-7.7%	0.0%	0.0%	2.0%
Spain	2.6%	4.0%	3.0%	2.0%
European Union	**-1.8%**	**2.3%**	**0.5%**	**1.0%**

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contraction in 2026.

Spain's construction sector is still recovering. After losing more than 25% of its output between 2019 and 2022, the market began to rebound in 2023. We forecast growth of 3% in 2026. Building permits have risen sharply in recent years, although momentum is easing. Contractor confidence is easing from a very high level in recent months. Even so, robust GDP growth should support construction this year and next.

For the **Netherlands**, we expect construction output to stabilise in 2026 after a weak first half, followed by modest growth in 2027.

Housing construction should gradually recover as the recent rise in building permits feeds through into starts and completions, although projects are often delayed and the recovery will remain limited. Infrastructure remains an important driver.

Poland's construction sector had a volatile start to 2026, with output falling by 6.8% in the first quarter due to the cold winter before rebounding by 8% in the second. Building permits are rising slightly, confidence remains stable and robust GDP growth of 3.4% should support demand. The resumption of EU funding is also expected to support infrastructure investment. Nevertheless, we expect construction output to remain flat in 2026, largely because o

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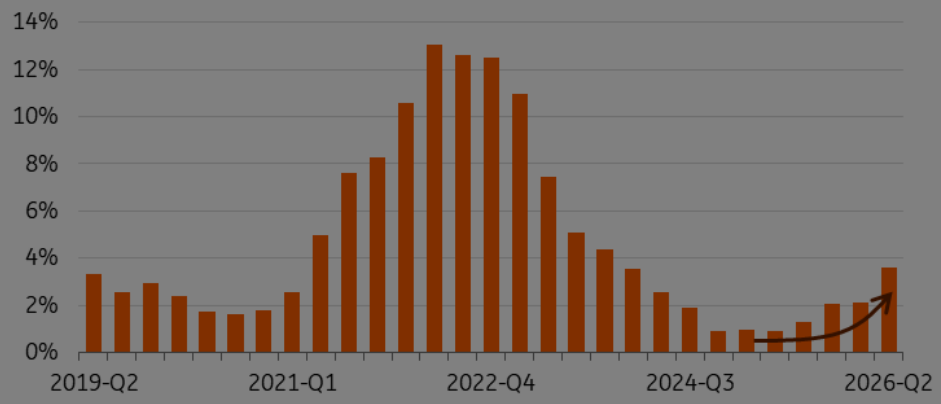
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countries without them, such as Spain, face greater exposure. Private contracts offer even less protection, increasing the risk of disputes, delays and halted projects.

Building costs higher but increases remain benign

Development building prices EU-27, new residential buildings, quarterly yoy



Source: Eurostat, ING Research

Low water levels are delaying deliveries

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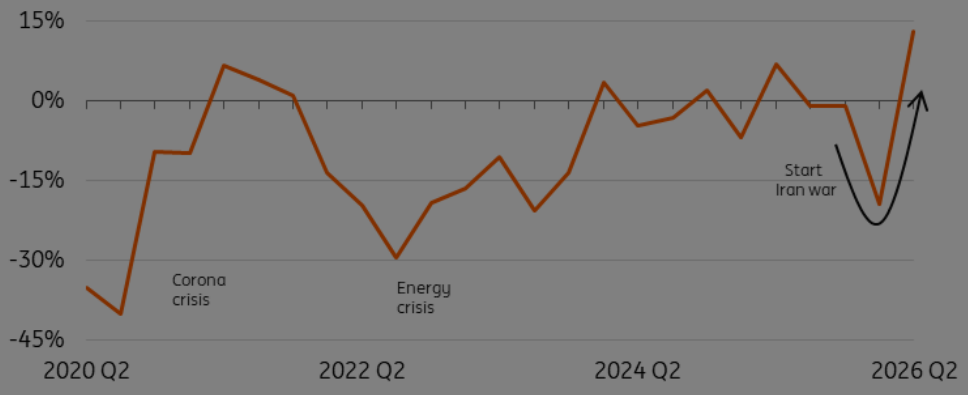
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during the 2022 energy crisis. Confidence recovered, and second-quarter profit expectations exceeded pre-war levels. This rebound may prove excessive, as energy prices have since begun rising again.

Profit expectations are up again

Expectations profit margins European constructors, Balance of companies that expect an increase-/-decrease of the profit margin in 12-months



Source: RICS, ING Research

Residential growth stalls

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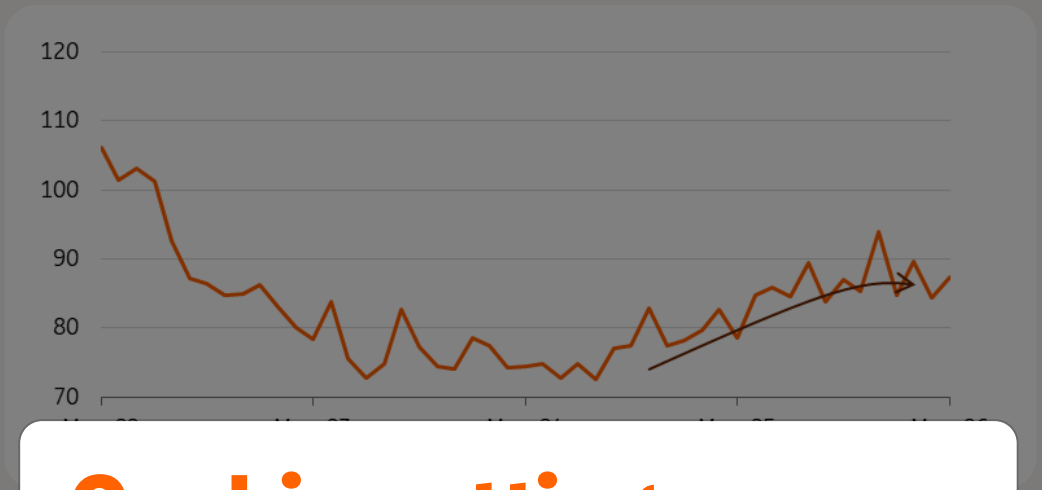
construction costs has so far remained modest.

One possible offset is that buyers may prefer new homes because they are generally more energy-efficient than existing properties. However, the stabilisation in permit issuance suggests that this advantage is not strong enough to drive further growth.

The number of permits issued for new houses is an important indicator of future volumes in the residential sector. Typically, it takes between one and two years from the granting of a permit to the completion of a new home.

Recovery of issued building permits slows

EU Building permits new dwellings, SA (index 2021=100



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Dutch permits for new homes surged in the second quarter of 2026. Statistics Netherlands has since paused publication of recent data, saying the increase appears implausibly large and may reflect legislative changes related to grid congestion. Limited grid capacity continues to delay new connections and construction projects, while nitrogen restrictions cause further setbacks. The government's plan to reduce nitrogen emissions of peak polluters and make way for other business activities is now under parliamentary review.

Spanish housing permits nearly tripled between 2020 and 2024, largely reflecting a rebound from the exceptionally low pre-

pandemic era base and a recovery in housing demand. Growth now appears to have peaked, with permits falling by almost 2% in the second quarter of 2026. The government's PERTE programme, co-financed through European recovery funds, aims to speed up and reduce the cost of housing construction through prefabrication and modular methods, but its impact will take time.

Business case still difficult

Housing shortages remain severe in many European cities, but new housing projects are more difficult to make commercially viable in some countries than in others. Although permit issuance has increased in many markets, construction costs remain high.

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House price developments 2026 Q2 compared to 2023 Q2

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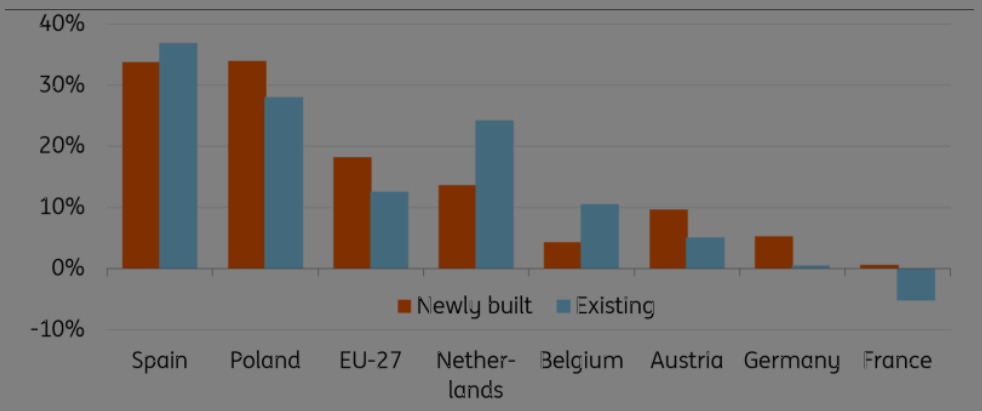
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Source: Eurostat, ING Research

Infrastructure growth continues

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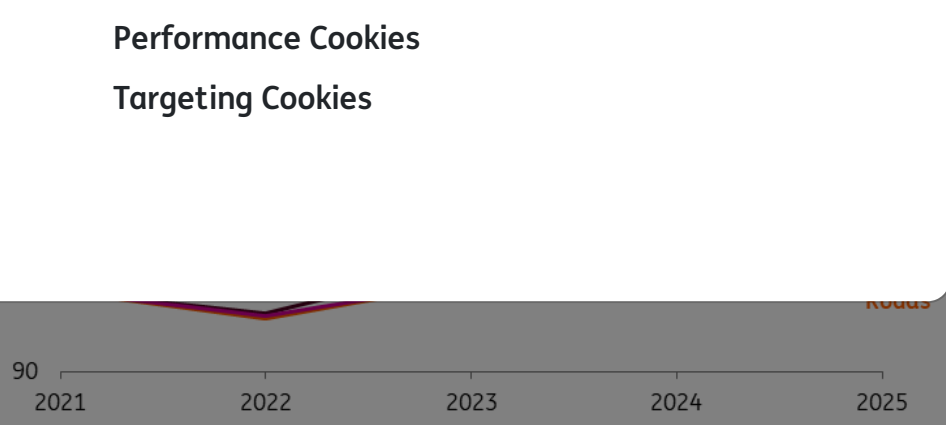
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Source: Euroconstruct, ING Research

The EU **energy construction sector** has been growing since 2022, driven by investments in renewable energy and electricity grid expansion. Growth is expected to remain strong as many countries in the EU continue to upgrade power infrastructure to support the energy transition and rising electricity demand.

Railway construction is showing strong growth. Across the EU, activity is being supported by both network renewals and major cross-border projects. Examples include Rail Baltica, which will connect the Baltic States with Poland, the Lyon–Turin rail link between France and Italy and high-speed rail investment in Spain, Portugal and Italy. Together, these projects illustrate the EU's drive to expand rail capacity.

Telecommunications construction has grown modestly in recent years, supported by fibre-optic expansion and continued investment in 5G networks across the EU. Although coverage is improving, progress varies widely between member states and

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